

W.P.No. 920/2014.
Stereo. H C J D A 38.

Judgment Sheet
IN THE LAHORE HIGH COURT, MULTAN BENCH MULTAN.
JUDICIAL DEPARTMENT

W.P. No.920 of 2014.

Engro Foods Ltd.

Versus

C. D. G. etc.

S. No. of order/ Proceeding	Date of order/ Proceeding	Order with signature of Judge, and that of Parties or counsel, where necessary
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30.06.2015.	Mr. Mansoor Usman Awan, Advocate for the petitioner. Ch. Muhammad Zahid Saleem Advocate for the respondent and petitioner in W.P. No. 3333 of 2007. Mr. Muhammad Irfan Wain, Advocate for the petitioner in W.P. No. 3086 of 2007. Mr. Muhammad Akhtar Khan, Advocate for the petitioner in W.P. No. 3077 of 2007. Pirzada Niaz Mustafa Qureshi, Advocate for the petitioner in W.P. No. 2951 of 2009. Syed Muhammad Ali Gillani, Advocate for DHA / respondent in W.P. No.3616/2007. Mr. Anwar-ul-Haq Bari, Advocate for the respondent No.2. Mr. Muhammad Amer Malik, Advocate for M.D.A.
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This judgment will dispose of the instant writ petition along with following writ petitions, as common questions of law and facts are involved in all these petitions:-

1. **W.P. No. 2951/2009.**
Titled "Abdul Waheed Iqbal Vs. M.D.A. etc."
2. **W.P. No. 1315/2008.**
Titled "M/s. Muller and Phips Vs. City District Nazim Multan etc."
3. **W.P. No. 3333/2007.**
Titled "Daud Yousaf Vs. M.D.A. etc."
4. **W.P. No. 2138/2007.**
Titled "M/s. Coca Cola Beverages Pakistan Ltd. Vs. City District Govt. Multan etc."
5. **W.P. No. 3077/2007.**
Titled "Pakistan Fruit Juice Company Ltd Vs. City District Govt. Multan etc."
6. **W.P. No. 404/2007.**
Titled "M/S Solex Chemicals Pvt. Ltd. Vs. City District Govt. Multan etc."
7. **W.P. No. 8831/2012.**
Titled "Top Sign Service etc Vs. M.D.A. etc."
8. **W.P. No. 4999/2008.**
Titled "Top Sign Service etc Vs. M.D.A. etc."

9. **W.P. No. 4103/2007.**
Titled "Irfan Laghari Vs. Govt. of Punjab etc."
10. **W.P. No. 3086/2007.**
Titled "M.C.B. Bank Vs. Govt. of Punjab etc."
11. **W.P. No. 3616/2007.**
Titled "Service Sales Corporation Pvt. Ltd. Vs. Govt. of Punjab etc."
12. **W.P. No. 1585/2008.**
Titled "Services Sales Corporation Pvt. Ltd. Vs. Govt. of Punjab etc."
13. **W.P. No. 5357/2008.**
Titled "Muhammad Shahid Abbas Vs. S.H.O. etc."
14. **W.P. No. 3614/2007.**
Titled "Service Sales Corporation Pvt. Ltd. Vs. Govt. of Punjab etc."

2. Brief facts relevant for decision of this writ petition are that the petitioner, Engro Foods Limited, is a public limited company established under the Companies Ordinance, 1984. The Respondent No.1, the City District Government, Multan, was established under the Punjab Local Government Ordinance, 2001 (**the Ordinance**) and has been vested with the administrative authority for the management of District Multan. The province of Punjab through its Secretary for Local Government is being arrayed as Respondent No.4. Respondent No.2 and 3 are the private contractors of the Respondent No.1 who were entrusted with the task of collection of advertisement fee imposed by the Respondent No.1. The petitioner has challenged the imposition of advertisement fee charged by the Respondent No.1 on various categories of signs boards installed in front of shops / offices, etc. for the publicity of its product, "Omore" Ice-Cream, and collection of the same through Respondent No.2 and 3 vide demand notice dated 20.02.2013 issued by the respondent No.2 in the sum of Rs. 4, 732, 560/- and demand notice dated 20.02.2013 issued by the respondent No.3 in the sum of Rs. 887,400/-. The petitioner has received notices from the respondents No.2 and 3, demanding the sum under the head of advertisement charges on account of various advertisements displayed on the face of its various commercial concerns within the territorial limits

of the respondent No.1, and the same is being recovered by the respondent No.1 through the contractors (respondents No. 2 and 3). In the event of refusal to make payment of the impugned demand, the respondents No. 2 and 3 have threatened the forceful removal of the petitioner's signboards and confiscation of all the petitioner's goods entering the territorial limits of the respondent No.1. Through these petitions, demand of advertisement fee /charges has been assailed.

3. Learned counsel for the petitioner contends that the impugned notices and they levy therein are illegal, without jurisdiction and authority, *ultra vires* the powers of the respondents and, therefore, of no legal effect. The impugned notices issued by the respondent No. 2 and 3, ostensibly at the behest of the respondent No.1, are *coram non judice*, without lawful authority, and in breach of the express commands of the Constitution of Islamic Republic of Pakistan **(the Constitution)**. Therefore, the impugned notices are liable to be set aside and declared illegal and unconstitutional. The demand raised under the grab of advertisement fee is, in fact, a revenue generation exercise without jurisdiction and is, therefore, unsustainable and bad in law. Section 54 (1)(g) and 116 read with Item 11, Part-II of the Second Schedule of the Ordinance empower the respondent No.1 to levy advertisement fee. It is well-recognized and established principle of fiscal law that a fee is return of consideration for services rendered; it co-relates to the expenses incurred by an authority in rendering of any services vis-à-vis the rights and privileges conferred and enjoyed by the beneficiary. The respondent No.1 has not provided any services to the petitioner for displaying the name of its product or its logo at various shops. Thus, the element of "quid pro quo", i.e. the nexus between the rendering of services and the charges thereof, is pivotal to the issue and lacking in the instant case. Even if the impugned fee could be imposed and collected, the same could not be done through the respondents No.2 and 3 as letting out such

rights to contractors is not permissible under the law. The respondent No.1 has been allowed to contract its functions to private, public or hybrid organizations; however, there is no provision for such contract to be entered into with individuals. Therefore, the impugned notices are not warranted by law and are liable to be set-aside.

Learned counsel for the petitioners further contend that fee without a corresponding service is a compulsory extraction of money, which can be imposed by the legislature possessing the inherent attribute of sovereignty. Any such exercise under a delegated authority, that too while exercising administrative functions and through a private contractor, is utterly unconstitutional and without jurisdiction. The impugned notice and the tax / fee it purports to levy is also confiscatory in nature and thus, inter alia, in breach of Articles 4, 9, 18, 23, 24 and 25 of the Constitution. The impugned notices are arbitrary and perverse exercise of authority and thus unsustainable in law. He submits that this controversy has already been settled by this Hon'ble Court in its earlier decided cases titled as Messrs Coca Cola Beverages etc. v. Cantonment Board Chaklala, Rawalpindi & others (2011 MLD 1987), Messrs Coca Cola Beverages Pakistan Limited through Company Secretary v. City District Government, Rawalpindi through DCO and others (2014 CLC 1135), Federation of Pakistan through Secretary M/o Petroleum and Natural Resources and another v. Durrani Ceramics and others (2014 SCMR 1630), Dubai Islamic Bank Pakistan Ltd, through authorized attorneys v. Federation of Pakistan, through Ministry of Defence, Rawalpindi and 2 others (2014 MLD 957), Messrs Lucky Cement Factory Limited and others v. The Government of N.W.F.P. through Secretary, Local Government and Rural Development Department, Peshawar and others (2013 SCMR 1511), East Pakistan Chrome Tannery (Pvt.) Ltd. v. Federation of Pakistan and others (2011 PTD 2643), Messrs Shamim & Co. v. Tehsil Municipal Administration, Multan City etc. (2004 YLR 366) and Arab Contracting and Co. v.

Tehsil Municipal Administration, Multan etc. (2005 MLD 1520). In the case of Durrani Ceramics supra, the apex court while distinguishing the ‘fee’ from ‘tax’, has held as follows:-

“19. Upon examining the case-law from our own and other jurisdictions it emerges that the ‘Case’ is levied for a particular purpose. It can either be ‘tax’ or ‘fee’ depending upon the nature of the levy. Both are compulsory exaction of money by public authorities. Whereas ‘tax’ is a common burden for raising revenue and upon collection becomes part of public revenue of the State, ‘fee’ is exacted for a specific purpose and for rendering services or providing privilege to particular individuals or a class or a community or a specific area.”

The matter of collection of fees and taxes etc. by the contractors has been dealt with by this Court in Dubai Islamic Bank case supra in the following manner:-

“7.The Local Councils who are answerable to the people have, by the long standing practice lent the art of delicately dealing with the people. A contractor is not answerable to the people. He has learnt only one thing, how to extort money. The way a contractor demands the Tax etc., adds an element of contempt and aggression to the demand. “2010 YLR 2543” titled Muhammad Munir Abdullah v. T.M.A. and others is relied. The collection of the advertisement fee, if permissible under law, cannot be entrusted to a contractor, respondent No.3. Respondent No.2 is restrained in further from entrusting its duties to the contractors. The assigning of the contracts should be constrained to those functions only which require the application of technology and scientific know-how and which cannot be performed by a non-technical employee of a Local Council.”

4. Learned counsel for the respondent contends that the instant writ petitions are not maintainable in the eyes of law because the petitioner has an alternate remedy under section 190 of the Ordinance to file an appeal against any decision or order passed by the respondents before the competent forum which has been prescribed in schedule. Under section 145 of the Ordinance, which deals with punishments and penalties by violating the mandatory provisions of the Ordinance, the respondents have power to

remove publicity hoardings and prepare Challan of recovery, if institution did not bother to pay the amount described in the Challan as a publicity fee then the same be recovered from the Institution through arrears of land revenue. Under section 39(b) read with section 116 of the Ordinance the respondents issued notification dated 07.06.2012 bearing No.807 (E&T) the same was duly published in Gazette Notification dated June, 20, 2012 by which under Rules 8 & 9 of Punjab Local Govt. Taxation Rules, 2001, City District Govt. is fully authorized to impose advertisement fee. Under Rule 38 of the City District Government, Multan Advertisement By-Laws, 2013 remedy of appeal is provided against any dispute, rejection of application or grievance. The applicant may submit appeal to the Commissioner Multan Division, Multan within 7 days, therefore, the instant petition is not maintainable. No fundamental rights guaranteed by the Constitution of the Islamic Republic of Pakistan, 1973 have been violated. In support of his contentions, learned counsel for the respondents have placed reliance on judgment of Hon'ble Supreme Court of Pakistan passed in Civil Appeal No.1001-2014 titled City District Government |Rawalpindi through DC|O Rawalpindi and another v. M/s Coca-Cola Beverages Pakistan Ltd. & others, judgment dated 20.04.2015 of this Court passed in W.P. No. 1219-2014 titled M/s Bahria Town (Pvt.) Ltd. v. City District Government Rawalpindi etc, through DCO, judgment dated 20.01.2015 of this Court passed in I.C.A. No.53-2014 titled Meezan Bank v. City District Government etc. and judgment dated 28.02.2007 of this Court passed in W.P. No.8500-2006.

5. Heard.

6. This Court has already settled that petitioners had an alternate remedy of appeal under section 190 of the Punjab Local Government Ordinance, 2001, as well as the Punjab Local Government (Appeals) Rules, 2002, which has not been availed in the instant cases. In Meezan Bank's case

supra, Hon'ble Division Bench of this Court has observed as under:-

“3. It transpires from the record that appellants paid advertisement fee to the respondents in the year 2012-2013 without any protest/objection. Appellants had a remedy of appeal under section 143 of the Punjab Local Government Act, 2013 (“Act”) which has not been availed. For the sake of convenience, we would like to refer Section 143 of the Act *ibid* which reads as under,

“143.Appeals:- A person aggrieved by any order passed by the local government or its functionaries may prefer an appeal to such authority, in such a manner and within such time as may be prescribed and an order passed in appeal shall be final.”

4. In view of above, we are of the considered opinion that learned Single Judge of this Court has meticulously examined all aspects of the case. Even otherwise, learned counsel has not been able to convince us qua the maintainability of this appeal in view of a bar contained in Section 3 of the Law Reforms Ordinance 1972.”

In M/s Bahria Town's case supra this Court had held as under:-

“6. Perusal of record reveals that the petitioners have challenged the imposition of advertisement fee on hoarding boards, neon signs and other advertising boards etc. Most of the petitioners were regularly paying the advertisement fee to the respondents without any protest/objection. The petitioners had an alternative remedy of appeal under section 190 of the PLGO 2001 & under section 143 of the Punjab Local Government Act, 2013 (“Act”) which has not been availed. For the sake of convenience, Section 190 of the PLGO Government Act, 2013 (“Act”) are reproduced hereunder:

“190. Appeals:-- Any person aggrieved by any order pursuant to this Ordinance or the rules or bye-laws made there under may appeal to such authority in such manner and within such period as may be prescribed.”

“143.Appeals:- A person aggrieved by any order passed by the local government or its functionaries may prefer an appeal to such authority, in such a manner and within such time as may be prescribed and an order passed in appeal shall be final.”

It is proper to mention here that in exercise of the powers conferred in section 190 of the PLGO, 2001, the Governor of the Punjab has

framed “The Punjab Local Government (Appeal) Rules, 2002” wherein right of appeal has also been provided. Rule 2 of the Rule ibid reads as under:-

*“2. **Appellate Authority:**-- Except as otherwise provided in the Punjab Local Government Ordinance 2001 or the rules framed there under an **appeal** from an order of the authority specific in Column 2 of Schedule-I annexed to these rules, shall lie to the authority specific in column-3 thereof.*

Even otherwise, factual controversies requiring evidence have been raised to seek decision on the issues involving determination of (i) area of imposition of advertisement fee and (ii) amount of advertisement fee as per actual size of the board etc. Undoubtedly, this Court in its constitutional jurisdiction cannot adjudge these disputed questions of fact which require recording of evidence of the parties and full-fledged trial. This Court does not enjoy unfettered and unbridled powers while exercising jurisdiction under Article 199 of Constitution of the Islamic Republic of Pakistan.

In view of the foregoing detailed discussion, these petitioners are not maintainable before this Court in its constitutional jurisdiction. Hence, the same are accordingly **dismissed.**”

In W. P. No. 8500-2006, this Court has observed as under:-

“21. Lastly another aspect, which cannot be ignored, is that despite availability of alternate remedy, the petitioners have invoked constitutional jurisdiction of this Court. It has been held by this Court in Writ Petition No.3825 of 2004 that alternate remedy of appeal under section 190 of Ordinance, 2001 and Punjab Local Government (Appeals) Rules, 2002 against T.M.A. is available before Secretary, Local Government and Rural Development Department, Government of Punjab and a writ petition is not maintainable. The payment of licence fee was assailed through invoking extraordinary conditional jurisdiction of this Court; wherein it was held that licence fee can only be charged after framing of bye-laws specific to the licence for dangerous trade. Hon’ble Supreme Court of Pakistan set aside the judgment of this court in **C.A. Nos. 1764 to 1782 of 2005** (*District Government, Sheikhpura and another vs. M/s Adil Textile Mills etc.*) by holding that objections raised in writ petition, could have been raised before the same hierarchy, in terms of rule 5 of the Taxation Rules 2001 and constitutional remedy, in view of availability of alternate remedy, was not available. The case of the petitioners in

these petitions is on the same footings. The petitioners have approached this Court without exhausting alternate remedy of appeal, therefore, these petitions cannot proceed on this score as well.”

7. In view of the judgments noted above, these writ petitions are not maintainable. The petitioners are allowed to avail remedy of appeal before the proper forum within 20 days from today, which, if filed, the said forum shall given benefit as regards delay of the period during which writ petitions remained pending before this Court and shall decide the appeals on merits as well as the prayer for interim relief. Meanwhile, no coercive measures will be taken against the petitioners for a period of 20 days from today to enable them to approach the appropriate forum. In giving the above observations, I am enlightened by the following case law:-

- i. Messrs Aslam Traders v. Asghar Ali Tahir and others (2000 SCMR 65)
- ii. Javed Iqbal Butt v. Tehsil Nazim/Tehsil Council, Daska and 2 others (2003 CLC 1030)

8. In the light of above discussion, all these writ petitions are hereby disposed of in above terms.

(Muhammad Sajid Mehmood Sethi)
Judge

Mian Farrukh

Announced in open court on 16.07.2015.

Judge

Approved for reporting.